

Fundamental Components of Financial Literacy

Financial literacy consists of several financial components and skills that allow an individual to gain knowledge regarding the effective management of money and debt.

Fundamental Components Of Financial Literacy

1. Budgeting

- Four main uses of money that determine a budget,
 - Spending
 - Investing
 - Saving
 - Giving away
- Balance allocation to:
 - Pay off existing debt
 - Build emergency savings
 - Fund long-term investments
- Outcome: greater financial security and prosperity

Use	Purpose	Suggested Allocation
Spending	Essentials & discretionary living	50%
Saving	Emergency fund & near-term goals	20%
Investing	Long-term growth & retirement planning	20%
Giving	Philanthropy, community, family support	10%

2. Investing

- To become financially literate, an individual must learn about key components in regards to investing
 - Interest rates and compounding
 - Price levels and market cycles
 - Diversification and risk mitigation
 - Benchmarks and indexes
 - Inflation etc..

3. Borrowing

- To ensure borrowing is done effectively, an understanding of,
 - Interest rates,
 - Compound interest,
 - Time value of money,
 - Payment periods,
 - Loan structure

4. Taxation

Gaining knowledge about the different forms of taxation and how they impact an individual's net income is crucial for obtaining financial literacy.

Types of taxable income

- Employment income (wages, salaries, and employee benefits)
- Self-employment or side job income
- Freelance or independent contractor work income
- Goods or services sold online
- Capital gains and losses
- Pensions and annuities
- Rental income and expenses
- Miscellaneous taxable income

Each source of income is taxed differently. Awareness of the different income tax rates permits economic stability and increases financial performance through income management.

5. Personal Financial Management

- Personal finance must include
 - Budgeting
 - Investing
 - Borrowing
 - Taxation

Benefits of Financial Literacy

Being financially literate is a skill that can improve the standard of living for individuals through an increase in financial stability.

- Ability to make better financial decisions
- Effective management of money and debt
- Greater equipped to reach financial goals
- Reduction of expenses through better regulation
- Less financial stress and anxiety
- Increase in ethical decision-making when selecting insurance, loans, investments, and using a credit card
- Effective creation of a structured budget
- Making steps to becoming financially literate is an important component of life that can ensure financial solidity, reduce anxiety, and stimulate the achievement of financial goals.

Why Financial Literacy Matters?

From day-to-day expenses to long-term budget forecasting, financial literacy is crucial for managing these factors. It is important to plan and save enough to provide adequate income in retirement while avoiding high levels of debt that might result in bankruptcy, defaults, and foreclosures.

Understanding Basic Financial Concepts

- Money
- Currency
- Bank
- Account
- Saving
- Internet Banking
- Investing

1. Money

Money is a recognised medium of exchange in the economy. It is an asset that can be stored and used in the form of currency, or as value.

2. Currency

Currency is the physical form of money in the form of coins and rupees. Each country typically has its own currency as a medium of exchange, issued by the central bank. In India, the Government of India (GoI) and Reserve Bank of India (RBI) are the issuers of the currency, i.e. Indian Rupees

3. Bank

A bank is a government- authorized financial institution that:

- Safeguards deposits from individuals and businesses
- Uses deposited funds to extend loans
- Charges interest on loans to generate income

4. Account

An account is a repository of funds held by a bank on behalf of the account holder.

- Identified by a unique account number
- Can be savings, checking, fixed deposit, or other types
- Enables deposits, withdrawals, and transfers

5.Saving

- Saving is the portion of income remaining after covering all expenses.
- It builds a financial cushion for emergencies and short-term goals.

6.Internet Banking

Electronic payment system that enables customers of a bank or other financial institution to conduct a range of financial transactions through the financial institution's website.

7. Investing

Investing means setting money aside for longer-term goals with the aim of generating income or appreciation.

- Investment values can rise and fall over time
- Long-term growth potential typically outperforms savings account returns
- No guaranteed return, so diversification and risk management matter

What Is GDP?

- GDP refers to the gross domestic product and is a widely used measure to determine the size of a nation's economy.
- It represents the total amount of goods and services produced in a country within a financial year.
- It only counts purchases of newly produced goods and services during the period.

Expenditure Approach

The expenditure approach measures a country's economic activity by summing all spending on final goods and services during a specific period.

It captures demand from households, businesses, government, and foreign buyers, offering a clear view of aggregate demand.

GDP Formula

The formula for GDP under the expenditure approach is:

$$\text{GDP} = C + I + G + (X - M)$$

Where each term represents a different spending category.

Components :

- **Consumption (C)**

Household spending on goods and services—everything from groceries and rent to entertainment and healthcare.

- **Investment (I)**

Business expenditures on capital equipment (machinery, buildings) and changes in inventories. Includes new residential construction.

- **Government Purchases (G)**

Expenditures by central , state, and local governments on goods and services (e.g., defence, education, infrastructure).

- **Exports (X)**

Value of domestically produced goods and services sold abroad, adding to domestic production.

- **Imports (M)**

Value of foreign-produced goods and services purchased domestically; subtracted because they're not produced locally.

Example Calculation

Data for a hypothetical economy (in ₹ billions):

Component	Value
Consumption (C)	1,200
Investment (I)	300
Government Purchases (G)	400
Exports (X)	250
Imports (M)	150

Calculation:

$$\text{GDP} = 1,200 + 300 + 400 + (250 - 150) = \mathbf{2,000 \text{ ₹ billion}}$$



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India to become third largest economy with GDP of \$5 trillion in three years: Finance Ministry

Ten years ago, India was the 10th largest economy in the world, with a GDP of \$1.9 trillion at current market prices.

Updated - January 29, 2024 04:39 pm IST - New Delhi



Photo used for representation purpose only.

India is expected to become the third-largest economy in the world with a GDP of \$5 trillion in the next three years and touch \$7 trillion by 2030 on the back of continued reforms, the Finance Ministry said on January 29.

Simple Interest

Simple interest is calculated with the following formula:

$$\text{S.I.} = (P \times R \times T)/100,$$

where P = Principal, R = Rate of Interest in % per annum, and T = Time, usually calculated as the number of years.

The rate of interest is in percentage R% (and is to be written as R/100, thus 100 in the formula).

1. Given that simple interest on a certain sum of money is Rs. 4016.25 at 9% per annum in 5 years. Find the sum of money.

Let P be the principal amount or sum of money.

Time (T) = 5 years

Rate of interest (R) = 9%

Simple interest earned (SI) = Rs. 4016.25

As we know,

$$\text{SI} = \frac{PTR}{100}$$

$$\text{Rs. 4016.25} = \frac{(P \times 5 \times 9)}{100}$$

$$P = \frac{(\text{Rs. 4016.25} \times 100)}{(5 \times 9)}$$

$$= \text{Rs. 8925}$$

Therefore, the sum of money is Rs. 8925.

2. Calculate the simple interest on Rs. 8000 for 15 months at 6 paise per rupee per month.

Solution:

Given,

Principal amount (P) = Rs. 8000

Time (T) = 15 months

Rate (R) = 6 paise per rupee per month

Here, the rate of interest and the time are given per month.

So, we can use the simple interest formula as:

$$SI = PTR/100$$

$$= (Rs. 8000 \times 15 \times 6)/100$$

$$= Rs. 7200$$

Therefore, the simple interest is Rs. 7200.

COMPOUND INTEREST

Compound Interest Formula

$$\text{C.I.} = P \left(1 + \frac{r}{n} \right)^{nt} - P$$

Notations in Compound Interest Formula:

C.I.	Compound Interest
P	Principal Amount
A	Total Accumulated Amount
r	Rate of Interest
n	Compounding Frequency Per Annum
t	Time (in Years)

Note: If the compounding frequency per annum is 1 i.e. if the interest is compounded annually, the compound interest formula is given as:

$$C.I. = P\left(1 + \frac{r}{100}\right)^t - P$$

A sum of Rs. 50,000 is borrowed and the rate of interest is 10% per annum. What is the compound interest for 5 years?

Solution:

From the formula for compound interest, we know,

$$C.I = P(1+R/100)^t - P$$

Here, $P = 50,000$; $R = 10\%$; $T = 5$ years ; $C.I=?$

So, Compound Interest will be-

$$C.I. = 50000(1+10/100)^5 - 50000 = 80525.50 - 50000$$

So, compound interest will be Rs. 30525.50 while the total accumulated wealth (A) will be Rs. 80525.50 at the end of 5 years with an interest rate of 10% per annum.

Find the amount and the compound interest on ₹12,000 in 3 years at 5% compounded annually.

Solution:

Given: $P = ₹12,000$; $n = 3$ years and $r = 5\%$

We know that, $\text{Amount} = P(1 + r/100)^n$

$$= 12000 (1 + 5/100)^3$$

$$= 12000 (21/20)^3$$

$$= ₹13,891.50$$

$$\text{Therefore, Compound Interest (C.I.)} = ₹13,891.50 - ₹12,000 = ₹1,891.50$$

